Stock pitch · Systematic value portfolio, holding since June 2025

Nippon Steel

TSE: 5401 · Materials · Japan · Price ¥659 (29 Oct 2026)

BUY · 3-5 year horizon

The market prices a Japanese steelmaker in decline. We see a global producer whose overseas profits are about to double — bought at 0.5-0.6x book.

Noah Doose · 29 October 2026 · Student research for interview purposes, not investment advice. Not affiliated with, endorsed by or prepared for any firm.

In numbers

0.54x	≥ ¥700bn	≥ ¥1tn	+39%
price to book (third-party, Oct 2026)	FY2026 underlying business profit guided	2030 plan target, half from overseas	upside to our base case (0.75x book)

Value score at the December 2025 rebalance: rank 1 of 62 in Materials; P/B 0.56x vs 1.62x for ArcelorMittal, Nucor and Steel Dynamics.

Portfolio weight 2% (equal weight), 4% in the mean-variance version.

Source: Nippon Steel FY2025 results and Q1 FY2026 materials (IR, May and Aug 2026); 2030 plan (12 Dec 2025); MarketScreener; pipeline

What is the market missing?

Investors still value Nippon Steel on its domestic business. Over 3-5 years the profit mix is turning overseas.

1. Overseas profit is inflecting. Overseas steel and raw materials earned ¥123bn of underlying business profit in FY2025 and are guided to ¥320bn in FY2026, with U.S. Steel moving from a ¥6bn loss to at least ¥180bn.

2. The domestic base is fixed, not broken. Capacity closures and contract-price reform cut the domestic break-even by 40%; domestic profit was still ¥528bn in a weak year.

3. The balance sheet has been refinanced. The ¥2tn bridge loan for U.S. Steel was replaced by a ¥600bn convertible, a ¥500bn hybrid and ¥900bn of JBIC-led loans; adjusted D/E is 0.71 against a 0.7 target.

Source: Nippon Steel FY2025 results presentation (May 2026) and Q1 FY2026 (4 Aug 2026), company IR

How does the business work?

Japan: the country's largest integrated steelmaker; high-grade automotive and electrical steels; restructured upstream (Kashima).

United States: U.S. Steel, acquired 18 June 2025 for about $14.9bn. A U.S. government golden share gives a veto on closures and capacity cuts; Nippon Steel committed about $11bn of U.S. investment by end-2028.

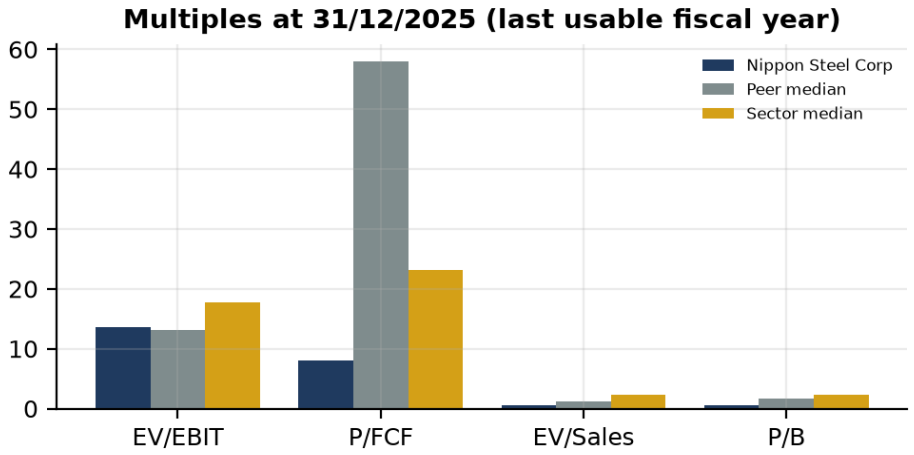
India: AM/NS India joint venture with ArcelorMittal, expanding Hazira from about 9 to 15 Mt a year.

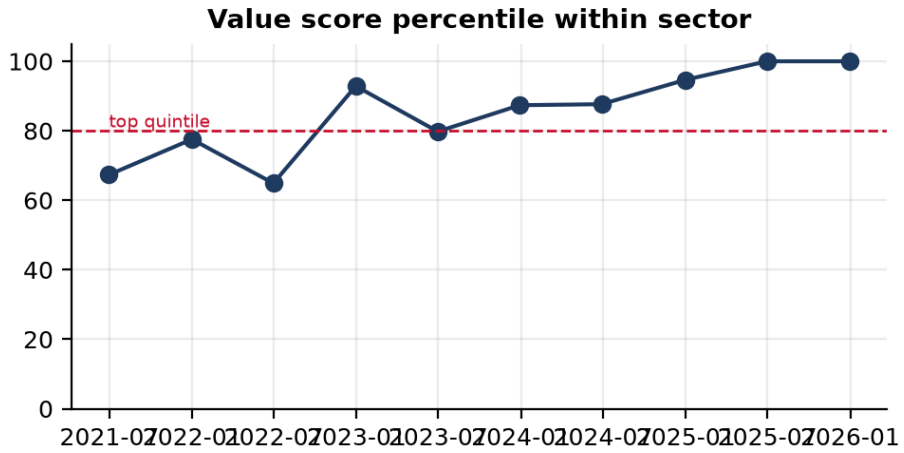
Other: raw-material interests (coking coal), Thailand/ASEAN, Ovako; USSK in Slovakia now owned directly.

2030 plan: underlying business profit of at least ¥1tn, ROE about 10%, D/E about 0.7, payout about 30% with a ¥24 minimum dividend.

Source: Nippon Steel 2030 Medium- to Long-term Management Plan (12 Dec 2025); National Security Agreement disclosures (Jun 2025)

Why did it derate?





FY2025 was a messy year: ¥271bn of one-off losses (exit from AM/NS Calvert, Usiminas), a blast-furnace fire, U.S. Steel losses — net profit only ¥17bn, ROE 0.3%.

Record Chinese steel exports (about 119 Mt in 2025) depressed Asian spreads.

Our score climbed from the third-fourth quintile in 2021-22 to the top of Materials in 2025 (percentile 100%): the price fell while book value and cash flow held.

Source: Nippon Steel FY2025 results (May 2026); pipeline score history and multiples (last usable fiscal year at 31/12/2025)

What could unlock the value?

Early Nov 2026 — H1 FY2026 results: is underlying profit on track for ¥250bn in H1 and a ≥ ¥900bn annualised run-rate in H2?

H2 FY2026: Gary No. 14 blast furnace back after relining, Big River 2 ramp-up, Nagoya hot strip mill; $0.3bn of synergies.

May 2027 — FY2026 results: first full year of U.S. Steel profit and the first FY2027 forecast.

Capital: at least ¥100bn of asset sales in FY2026; convertible conversion price about ¥730-737.

Policy: U.S. Section 232 tariffs support U.S. Steel pricing; any Chinese export restraint would help Asian spreads.

Source: Q1 FY2026 materials (4 Aug 2026); convertible bond announcement (24 Feb 2026); dates to verify

What is it worth?

A 10% ROE steelmaker deserves about book value; we only assume three quarters of it.

Scenario	What has to happen	P/B applied	Value / share	vs ¥659
Bear	U.S. Steel stalls, China keeps exporting, ROE stuck at 4-5%	0.45x	¥549	-17%
Base	FY2026 guide met, ROE drifts to 7-8%	0.75x	¥916	+39%
Bull	2030 plan on track, ROE near 10%	0.95x	¥1,160	+76%

Cross-checks: justified P/B at 10% ROE, 9% cost of equity and 2% growth = (10 − 2) / (9 − 2) ≈ 1.1x. Third-party P/E: about 12x FY2026 guide, 8.8x FY2027 consensus.

Book value per share: about ¥1,221, derived from price and third-party P/B (to verify at the terminal).

Source: own calculations; MarketScreener multiples (29 Oct 2026, third-party); company FY2026 EPS guide ¥55

What would make us wrong?

U.S. Steel execution: losses in FY2025, a golden share that blocks restructuring, $11bn of capex to deliver.

Leverage: net debt about ¥5tn (third-party); conversion of the ¥600bn convertible would add roughly 820m shares (our estimate).

Steel cycle and China: the domestic forecast was already cut by ¥90bn in August.

Quality of the upgrade: part of the FY2026 profit increase comes from a weak yen and inventory gains.

We would sell if: H2 FY2026 runs well below ¥900bn annualised, U.S. Steel profit falls back towards zero, D/E rises above about 1.0 or the ¥24 minimum dividend is cut.

Source: company materials (May and Aug 2026); MarketScreener (net debt); own estimates

What did we do, and why?

2%	4%	-14.1%	+10.8%
equal-weight portfolio	mean-variance portfolio (cap)	H1 2026 total return (EUR)	MSCI World Net EUR, H1 2026

We bought in June 2025, when the score entered the top quintile, and kept it in December 2025.

The first half of 2026 was painful (Middle East costs, yen-driven noise): the thesis is unchanged, so the position is kept.

Role in the portfolio: Japan and Materials exposure; JPY is hedged when five or more Japanese names are held.

Source: outputs/portfolio/weights_*.csv; backtest returns net of withholding tax (pipeline)

Sources

[N1] Nippon Steel, Q1 FY2026 financial results and FY2026 forecast revision, 4 Aug 2026 — nipponsteel.com/en/ir (accessed 29 Oct 2026)

[N2] Nippon Steel, FY2025 financial results presentation, May 2026 — nipponsteel.com/en/ir (accessed 29 Oct 2026)

[N4] Nippon Steel, 2030 Medium- to Long-term Management Plan, 12 Dec 2025 (accessed 29 Oct 2026)

[N6] U.S. Steel acquisition closing and National Security Agreement disclosures, June 2025 (accessed 29 Oct 2026)

[N7] Convertible bond issue announcement, 24 Feb 2026; FY2025 forecast revision, Feb 2026 (accessed 29 Oct 2026)

[N8] MarketScreener, Nippon Steel quote, multiples and net debt, 29 Oct 2026 (third-party, delayed)

[N9] Nippon Steel, USSK transfer announcement, May 2026 (accessed 29 Oct 2026)

[N10-N13] Press coverage of results, financing and China exports (2025-2026), see pitches/research/5401_JP.md

Portfolio Project pipeline: value score, multiples (last usable fiscal year, Bloomberg-derived), weights, returns

To verify at the terminal: free cash flow and interest-bearing debt (securities report), split date, H1 results date, share count.